



Interest Rate Spillovers to the Canadian Government Curve

5-Country VAR: US, EU, CA, BR, UK
Nelson-Siegel Level, Slope, Curvature

Rates Research | 5 May 2026

Methodology: 5-Country VAR on Nelson-Siegel Factors

We decompose five government yield curves (US, EU, CA, BR, UK) into Level, Slope, and Curvature via Nelson-Siegel ($\lambda = 0.10$). A 15-variable VAR(1) is estimated on weekly data (2005–2026, $N = 1112$ obs).

Cholesky ordering: US $\rightarrow$ EU $\rightarrow$ BR $\rightarrow$ UK $\rightarrow$ CA

Rationale: CA is placed last as the “receiver” of interest. US is most exogenous (global reserve currency).

Granger Causality Tests ($\alpha = 5\%$)

Source	CA Factor	F-stat	p-value	Sig.?
US	Level	2.95	0.032	Sig.
US	Slope	1.75	0.154	Not sig.
US	Curvature	1.23	0.297	Not sig.
EU	Level	2.43	0.063	Not sig.
EU	Slope	4.65	0.003	Sig.
EU	Curvature	1.32	0.267	Not sig.
BR	Level	9.78	0.000	Sig.
BR	Slope	3.88	0.009	Sig.
BR	Curvature	3.32	0.019	Sig.
UK	Level	0.87	0.458	Not sig.
UK	Slope	1.96	0.118	Not sig.
UK	Curvature	0.94	0.420	Not sig.

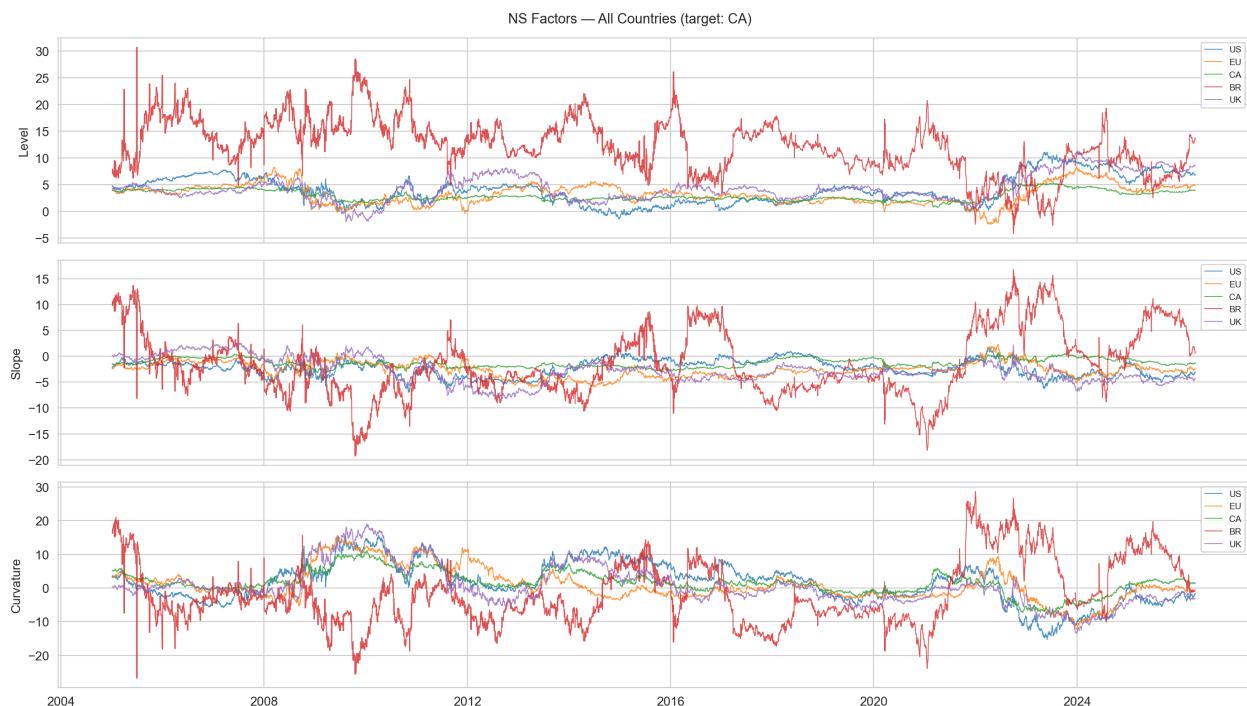


Figure 1: Nelson-Siegel factors for all 5 countries (2005–2026). CA highlighted as the target curve.

Shock Propagation to Canada

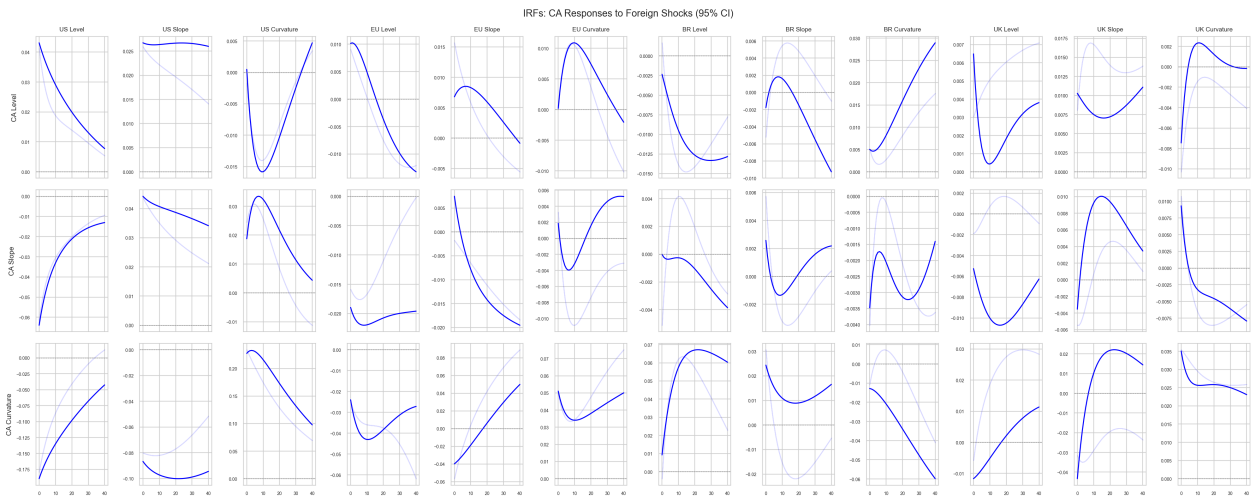


Figure 2: Orthogonalised IRFs: CA factor responses to foreign shocks over 40 weeks. Blue shading = 95% bootstrap CI.

FEVD at 52-Week Horizon (% of variance)

	US	EU	CA	BR	UK
CA Level	28.9	3.9	50.0	14.8	2.4
CA Slope	46.6	12.3	38.1	0.3	2.8
CA Curvature	49.4	4.9	38.4	6.2	1.1

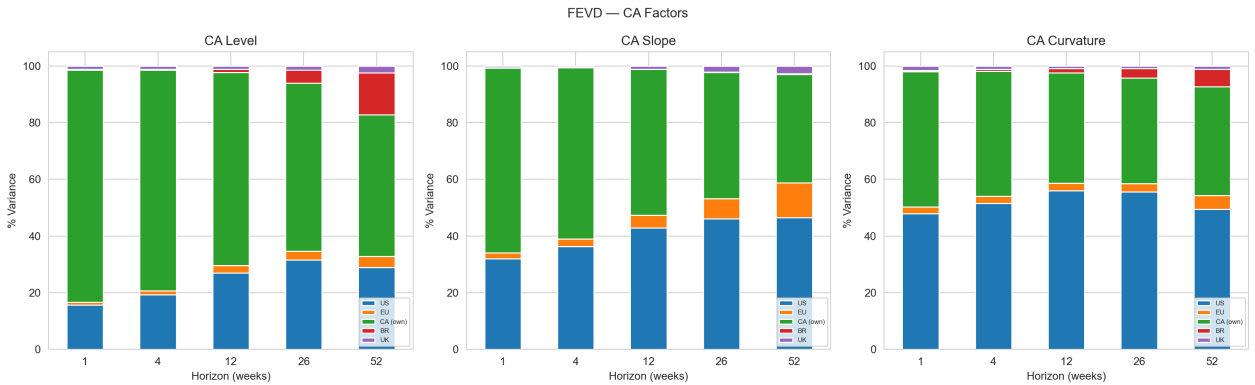


Figure 3: FEVD: share of CA factor forecast error variance by source country at horizons 1–52 weeks.

Canada: Market Context (May 2026)

Macro & Fiscal Backdrop

- **Inflation:** CPI at 2.8% (Mar 2026). Shelter costs remain the largest contributor.
- **Growth:** GDP grew 0.4% in Q4 2025. Labour market softening; unemployment at 6.7%.
- **BoC:** Policy rate at 3.25%, on hold. Markets pricing 1–2 cuts later in 2026.
- **Housing:** Canadian housing vulnerability adds sensitivity to rate movements.
- **Trade:** US tariff uncertainty weighing on business investment.

Key Drivers Ahead

1. **US dominance:** US explains ~29% of CA Level and ~47–49% of Slope and Curvature. The BoC–Fed policy link is the single largest external driver.
2. **Brazil connection:** Surprisingly, BR explains ~15% of CA Level—likely via commodity/EM risk channels.
3. **BoC vs Fed divergence:** CAD depreciation constrains BoC's ability to cut independently.
4. **Housing correction risk:** Could force BoC to cut aggressively, decoupling from Fed.

Data: US: FRED (constant-maturity Treasury rates), EU: ECB Statistical Data Warehouse (AAA-rated), CA: Bank of Canada Valet API (benchmark bonds), BR: IPEA/ANBIMA (DI pre-fixed yield curve), UK: Bank of England IADB (nominal spot curve). Model: VAR(1) on weekly NS factors, sample 2005–2026 (1112 obs). This document is for informational purposes only and does not constitute investment advice.